

Stéphane Chatonsky

PO Box 241, Edgecliff NSW 2027

19 June 2026

Manager, Innovative Start-ups CGT Consultation
The Treasury
Langton Crescent, Parkes ACT 2600
Lodged via consult.treasury.gov.au/c2026-779186

Submission: Capital gains tax reforms, arrangements for innovative start-ups

Focus: the treatment of employee share scheme (ESS) interests under the proposed Innovative Business CGT Concession

I am writing in response to the consultation paper on the proposed Innovative Business CGT Concession (IBCC). I do so in three capacities. Over the years I have held, and continue to hold, options under early-stage company employee share option plans of exactly the kind the concession is meant to reach. They are granted at a nominal exercise price, vest over several years, and become exercisable only on a liquidity event. I am also a non-executive director and board chair working across healthtech, diagnostics and AI in Australia, so I see the same structure repeated across many companies, where I can see first-hand how much these schemes matter in attracting and retaining the people these companies depend on. And I teach venture capital and innovative finance at university level, which means I spend a good deal of time explaining how these instruments actually function, and where the tax treatment and the commercial reality come apart.

I want to be clear about the scope of this submission at the outset. The IBCC raises many issues, but my focus is almost entirely on one: how it treats employee share scheme (ESS) interests, that is, the options and shares held by founders and employees under start-up option plans. The concession is welcome and the policy instinct behind it is right. My concern is narrower and, I think, fixable. As drafted, the eligibility rules would exclude most of the ESS participants they are designed to reward, because of a mismatch between how Australian employee share schemes actually work and how the holding-period and related tests are framed. Almost everything below follows from that mismatch. I have kept it general; it applies to the standard exercise-on-exit ESS plan, not to any one company.

The structure the rules need to account for

Almost every Australian start-up option plan built for the section 83A-33 start-up concession works the same way. The employee is granted options early, when the company is small and the shares are worth little. The options

vest over time. But the exercise window does not open on a schedule the employee controls. The board opens it, and typically not until there is an exit, whether a trade sale or an IPO. The practical consequence is that the employee holds *options* for years and only ever holds *shares* for the brief moment between exercising and selling, usually at the same exit event.

That single fact drives everything that follows. It is not an edge case. It is the dominant design, and it is the design the Corporations Act employee-incentive provisions and section 83A were written to enable.

There is a further wrinkle that matters even more. In many plans the employee never acquires a share at all. On exit the board may simply cancel the vested options and pay the employee the difference between the exit price per share and the exercise price, settling the value in cash through the transaction. The economic gain is identical to exercising and selling, but no share is ever issued and none is ever held. A test that depends on holding shares for five years is, for these employees, not merely difficult to satisfy. It cannot be satisfied at all, because there is no share and so no share holding period to measure. Yet there is a long holding period to point to: the years the employee held the options themselves, from grant through to exit. The commitment the concession says it wants to reward was made over exactly that period; it simply sits in the options rather than in a share.

The holding-period test, as drafted, defeats the concession it sits in

The IBCC requires the shares to be held for five years before disposal. Read literally, the clock runs on the shares. Under an exercise-on-exit plan the employee acquires the shares at the exit and disposes of them within days. They never hold the shares for five years, no matter that they held the options, and stayed with the company through its hardest years, for half a decade.

So the person the concession describes in its own opening paragraph, the employee share scheme participant in an innovative start-up, is the person most likely to fail its central test. Meanwhile a passive investor who bought shares directly five years earlier sails through. That is the wrong way around, and I doubt it is intended.

The fix is simple. For shares acquired by exercising options issued under an employee share scheme, start the five-year clock at the option grant date, rather than the share acquisition date. And where the gain is realised without a share ever being issued, because the options are cashed out or cancelled for value on exit, the concession should look to the period the options were held, on the same option-grant-date basis. What is being rewarded is the years of commitment the employee gave from grant onward, taking part of their pay as upside rather than cash, and that is present

whether or not a share is briefly held at the end. This is the single most important change in this submission. Without it, the concession will look generous on paper and reach very few of its intended beneficiaries.

The transition rules are silent on the asset most ESOP holders will actually hold

The broader reform deems assets held on 30 June 2027 to be sold and reacquired at market value, then splits the eventual gain into a pre-2027 slice (with the existing discount) and a post-2027 slice (indexation plus the 30 per cent minimum tax). For most ESOP participants, the asset held on 30 June 2027 will not be a share. It will be an unexercised, illiquid, contingent option.

The materials do not say how such an option is to be valued at that date, how that value interacts with the capital-account treatment that applies when the option is later exercised under the start-up concession, or how the pre/post-2027 split then carries through to the shares. This is a real gap with real money attached, and it cannot be left to be worked out case by case. The ATO should publish a method, ideally a safe harbour formula, for valuing unexercised ESS options at 30 June 2027, and the rules should state plainly how the split flows through to the shares acquired on exercise.

The listing disqualification penalises employees whose company succeeds via IPO

There is a particular trap for ESOP holders in the requirement that the company be unlisted at disposal. An IPO is, for most employees, the success case, and yet it is the case the eligibility test handles worst. Where the exit is a trade sale, the company is still unlisted when the shares change hands. Where the exit is a listing, it is not: the employee realises the gain in, or shortly after, a company that has just become listed, and the unlisted condition fails at exactly the moment the gain is taxed. Tested literally and at disposal, the listing disqualification rewards the employee whose company is bought and penalises the one whose company lists, which cannot be the intended ordering.

The interaction is more tangled in practice because listings are usually effected through an IPO vehicle, with options or shares rolled into a new entity and the employee then locked up under escrow for a year or more before selling down. It is unclear whether shares in the IPO vehicle preserve the holding chain for IBCC purposes, or reset it. My suggestion is that, for shares that derive from employee share scheme options, the listing condition be tested at an earlier date, the option grant date, consistent with the points above, or relaxed so that a subsequent listing does not retrospectively strip eligibility from gains that accrued while the company was genuinely an unlisted start-up.

Test the age and turnover ceilings at the right moment for ESS interests

The same timing problem recurs in the small-and-young tests. A company can be well under \$50 million in turnover and under ten years old when an employee is granted options, then scale past both thresholds before any exit. If turnover and age are tested “when new equity is issued”, that is, at exercise near the exit, the employee is penalised for the company succeeding. For ESS-derived shares, these tests should be assessed by reference to the option grant date, consistent with the holding-period point above, so the concession tracks when the employee actually made their commitment.

A note from the board side of the table

The IBCC does not sit alone. It is meant to work alongside the start-up concession, the ESVCLP and VCLP changes and loss refundability as a single pro-innovation package. The holding-period defect breaks that coherence: a CGT concession aimed at employees and founders misfires against the very employee-share structures that other parts of the statute book were written to encourage. Before the design is settled, I would urge Treasury to run it against one ordinary exercise-on-exit ESOP, end to end, and confirm that a long-serving employee actually qualifies. If they do not, the rest of the design does not much matter.

What I am asking for

Each of these is directed at the treatment of ESS interests, and most turn on the same principle: measure eligibility by reference to when the employee made their commitment, at option grant, not at the moment of exit.

1. Start the five-year holding period at option grant, not share acquisition, for ESS-derived shares; and extend the concession to gains realised on exit without a share being issued, where options are cashed out or cancelled for value, measured on the same basis.
2. Publish an ATO method or safe harbour for valuing unexercised ESS options at 30 June 2027, and state how the split flows through to the shares.
3. Test the listing condition at an earlier date (or relax it) so an IPO exit does not retrospectively strip eligibility from ESS-derived shares.
4. Test turnover and age by reference to the option grant date for ESS interests.
5. Validate the final design against a real exercise-on-exit ESOP before it is legislated.

I would be glad to expand on any of this, including the board-level view of how these structures operate in practice. Thank you for the opportunity to contribute.

Yours sincerely

Stéphane Chatonsky